

Floor & Decor Holdings, Inc. and Subsidiaries
Consolidated Balance Sheets

in thousands, except for share and per share data

	As of December 28, 2023	As of December 29, 2022
Assets		
Current assets:		
Cash and cash equivalents	\$ 34,382	\$ 9,794
Income taxes receivable	27,870	7,325
Receivables, net	99,513	94,732
Inventories, net	1,106,150	1,292,336
Prepaid expenses and other current assets	48,725	53,298
Total current assets	1,316,640	1,457,485
Fixed assets, net	1,629,917	1,258,056
Right-of-use assets	1,282,625	1,205,636
Intangible assets, net	153,869	152,353
Goodwill	257,940	255,473
Deferred income tax assets, net	14,227	11,265
Other assets	7,332	10,974
Total long-term assets	3,345,910	2,893,757
Total assets	<u>\$ 4,662,550</u>	<u>\$ 4,351,242</u>
Liabilities and stockholders' equity		
Current liabilities:		
Current portion of term loan	\$ 2,103	\$ 2,103
Current portion of lease liabilities	126,428	105,693
Trade accounts payable	679,265	590,883
Accrued expenses and other current liabilities	332,940	298,019
Deferred revenue	11,277	10,060
Total current liabilities	1,152,013	1,006,758
Term loan	194,939	195,351
Revolving line of credit	—	210,200
Lease liabilities	1,301,754	1,227,507
Deferred income tax liabilities, net	67,188	41,520
Other liabilities	15,666	12,730
Total long-term liabilities	1,579,547	1,687,308
Total liabilities	<u>2,731,560</u>	<u>2,694,066</u>
Commitments and contingencies (Note 9)		
Stockholders' equity		
Capital stock:		
Preferred stock, \$0.001 par value; 10,000,000 shares authorized; 0 shares issued and outstanding at December 28, 2023 and December 29, 2022	—	—
Common stock Class A, \$0.001 par value; 450,000,000 shares authorized; 106,737,532 shares issued and outstanding at December 28, 2023 and 106,150,661 issued and outstanding at December 29, 2022	107	106
Common stock Class B, \$0.001 par value; 10,000,000 shares authorized; 0 shares issued and outstanding at December 28, 2023 and December 29, 2022	—	—
Common stock Class C, \$0.001 par value; 30,000,000 shares authorized; 0 shares issued and outstanding at December 28, 2023 and December 29, 2022	—	—
Additional paid-in capital	513,060	482,312
Accumulated other comprehensive income, net	1,422	4,337
Retained earnings	1,416,401	1,170,421
Total stockholders' equity	1,930,990	1,657,176
Total liabilities and stockholders' equity	<u>\$ 4,662,550</u>	<u>\$ 4,351,242</u>

See accompanying notes to consolidated financial statements.

Floor & Decor Holdings, Inc. and Subsidiaries
Consolidated Statements of Operations and Comprehensive Income

	Fiscal Year Ended		
	December 28, 2023	December 29, 2022	December 30, 2021
<i>in thousands, except for per share data</i>			
Net sales	\$ 4,413,884	\$ 4,264,473	\$ 3,433,533
Cost of sales	2,555,536	2,536,757	2,011,267
Gross profit	1,858,348	1,727,716	1,422,266
Operating expenses:			
Selling and store operating	1,239,225	1,078,466	849,440
General and administrative	252,713	213,848	199,401
Pre-opening	44,982	38,642	34,433
Total operating expenses	1,536,920	1,330,956	1,083,274
Operating income	321,428	396,760	338,992
Interest expense, net	9,897	11,138	4,924
Income before income taxes	311,531	385,622	334,068
Income tax expense	65,551	87,427	50,838
Net income	\$ 245,980	\$ 298,195	\$ 283,230
Change in fair value of hedge instruments, net of tax	(2,915)	3,802	371
Total comprehensive income	\$ 243,065	\$ 301,997	\$ 283,601
Basic earnings per share	\$ 2.31	\$ 2.82	\$ 2.71
Diluted earnings per share	\$ 2.28	\$ 2.78	\$ 2.64

See accompanying notes to consolidated financial statements.

Floor & Decor Holdings, Inc. and Subsidiaries
Consolidated Statements of Cash Flows

	Fiscal Year Ended		
	December 28, 2023	December 29, 2022	December 30, 2021
<i>in thousands</i>			
Operating activities			
Net income	\$ 245,980	\$ 298,195	\$ 283,230
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	201,869	155,023	118,196
Stock-based compensation expense	27,240	22,233	20,528
Deferred income taxes	23,722	2,525	3,042
Change in fair value of contingent earn-out liabilities	2,609	2,529	—
Loss on asset impairments and disposals, net	925	20	438
Interest cap derivative contracts	113	114	357
Changes in operating assets and liabilities, net of effects of acquisitions:			
Receivables, net	1,151	(12,150)	(19,768)
Inventories, net	194,890	(283,438)	(349,678)
Trade accounts payable	96,985	(84,732)	232,761
Accrued expenses and other current liabilities	7,507	38,716	36,684
Income taxes	(18,413)	(8,865)	(15,897)
Deferred revenue	1,217	(4,432)	3,158
Other, net	17,794	(13,288)	(11,709)
Net cash provided by operating activities	803,589	112,450	301,342
Investing activities			
Purchases of fixed assets	(547,613)	(456,600)	(407,671)
Acquisitions, net of cash acquired	(17,353)	(3,810)	(63,567)
Proceeds from sales of property	—	4,773	—
Net cash used in investing activities	(564,966)	(455,637)	(471,238)
Financing activities			
Proceeds from term loans	—	—	65,000
Payments on term loans	(2,103)	(2,103)	(76,202)
Borrowings on revolving line of credit	518,900	1,047,100	13,466
Payments on revolving line of credit	(729,100)	(836,900)	(15,969)
Payments of contingent earn-out liabilities	(5,241)	(2,571)	—
Proceeds from exercise of stock options	10,960	7,592	14,736
Proceeds from employee stock purchase plan	5,159	4,379	3,063
Debt issuance costs	—	(1,736)	(1,409)
Tax payments for stock-based compensation awards	(12,610)	(2,224)	(1,117)
Net cash (used in) provided by financing activities	(214,035)	213,537	1,568
Net increase (decrease) in cash and cash equivalents	24,588	(129,650)	(168,328)
Cash and cash equivalents, beginning of the period	9,794	139,444	307,772
Cash and cash equivalents, end of the period	\$ 34,382	\$ 9,794	\$ 139,444
Supplemental disclosures of cash flow information			
Buildings and equipment acquired under operating leases	\$ 201,486	\$ 225,968	\$ 285,865
Cash paid for interest, net of capitalized interest	\$ 9,595	\$ 7,403	\$ 6,279
Cash paid for income taxes, net of refunds	\$ 61,027	\$ 92,923	\$ 63,684
Fixed assets accrued at the end of the period	\$ 135,707	\$ 116,997	\$ 87,645

See accompanying notes to consolidated financial statements.